

KEY PERFORMANCE INDICATORS (KPIs)

KPIs are different for each business. You need to identify KPIs relevant to your business. KPIs for a premium model business for example, are:

- The number of free trials you offer
- Percentage of trials completed.
- Number of paid conversions
- Number of renewals

Each business had different KPIs. These KPIs will help you track your business and identify the revenue. For example, suppose you forecast revenue as Rs.1,00,000 next month, Rs.1,20,000, and Rs.1,50,000 for the following months, and so on. These are just numbers without any explanation. Here's how you must go about it:

Say 500 people are currently using your free trials. You assume you can increase this to 800 in the next month and 1000 and 1200 in the following months.

Out of people who enroll, 30% finish the trials. Say you aim to increase this to 40%.

Now, out of 30% of people who finish the course, 30% convert id plan.

	A	B	C	D	E	F
1						
2		M1	M2	M3	M4	M5
3						
4	KPIs					
5	Number of Free Trials	500	800	1000	1200	
6	% of trials completed	30%	30%	30%	30%	
7	No. of Paid Conversions	45	72	90	108	
8	No. of Renewals					
9						
10						
11						
12	Income Statement					
13	Number of units sold					
14	Price per unit					
15	Total Revenue	45000	72000	90000	108000	0
16						
17	Cost Of Goods					
18	CAC					
19	Employee					
20	Logistics					
21	Office Overheads					
22						
23						
24						
25						
26						
27						
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30						